

UK: care funding gamble risks voter backlash

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Burnham's bet on trading pension growth for social care could cost Labour at the ballot box. In his speech to the Labour Party conference on 29 September|||||||

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Burnham's care funding gamble risks voter backlash

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Short-term trajectory:

Long-term trajectory:

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Prime Minister Andy Burnham's plan to abolish the so-called triple lock on annual state pension increases to help fund £18 billion annually in expanded social care will have little fiscal impact before 2030, requiring near-term tax increases and risking discontent among older voters in particular.

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Burnham's determination to push ahead with big-ticket policies despite the UK's bleak economic outlook is creating tension with Chancellor John Healey, which is likely to deepen as Healey looks to assert fiscal discipline in the upcoming 28 October budget announcement.

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The odds of a 2027 general election remain at 35% despite Burnham's claims that he will wait until 2029, with EU relations and proportional voting likely to be central campaign issues when the time comes.

Burnham's bet on trading pension growth for social care could cost Labour at the ballot box. In his speech to the Labour Party conference on 29 September, the prime minister announced the end of the triple lock on annual increases in state pensions to help fund his plan to provide free social care on the same basis as the National Health Service. From April 2030, the pension will rise in line with prices or 2.5% but will no longer track earnings over time, which officials say will save £40 billion by 2040. Burnham hopes axing the triple lock will reassure markets he can tackle welfare spending, but with initial savings limited against an £18 billion annual cost for social care, tax rises will have to fill the gap.

Burnham believes he can build public consensus for a national care service and will ask voters to back his vision during the next election, but he is taking a huge political gamble. The Conservatives and Nigel Farage's Reform UK will oppose his blueprint and accuse Labour of unleashing a tax bombshell. Burnham said he is offering older people a good deal in trading partial pension growth for long-term care guarantees, but some Labour politicians fear a repeat of former chancellor Rachel Reeves's ill-fated decision to means-test the winter fuel allowance for retirees.

The prime minister's freewheeling governing style is causing tensions with Healey. The chancellor was not aware of Burnham's eve-of-conference announcement that his social care plan will be funded from

general taxation. There is an increasingly evident disparity between Burnham's promise of delivering the biggest political and economic reforms in 40 years and Healey's emphasis on fiscal discipline. "It is Santa versus Scrooge," one senior Labour figure told Eurasia Group. In his conference speech on 28 September, Healey twice emphasized that the two men are united in their determination to stick to the fiscal rules they inherited from Keir Starmer's government.

Fiscal room likely to shrink further as the economic backdrop for 28 October budget darkens. Despite the optimism and "hope again" slogan of the Labour conference, ministers are privately bracing for the Office for Budget Responsibility to downgrade its forecasts for the UK economy. Rising inflation and the highest government borrowing costs for 20 years, stemming mainly from the Iran war, will at least halve the £23.6 billion of headroom the government had in March against its fiscal rule to balance income and spending by 2029-2030. Healey will likely reduce that buffer further in the upcoming budget. He told the conference that reducing welfare spending is "a moral duty" as well as "an economic must," warning: "The money New Labour had in the nineties is simply not there now." Some tax rises are inevitable (see: Budget will bring Burnham's big promises up against fiscal reality , 2 September 2026).

Although the chancellor is promising a cost-of-living budget, his relatively small-scale measures to ease the squeeze—such as helping low-income families with fuel bills and postponing a five-pence per liter fuel duty rise due by next March—will be eclipsed by an estimated 24% (£420) rise in average annual energy bills in January and inflation rising from its current 3.1% to 4% next year. Interest rates will inevitably rise, and higher mortgage costs will likely become a big political issue in 2027.

Eurasia Group maintains 35% odds of a general election in 2027 despite Burnham's denials. While he says the contest will be held on schedule in 2029, the prime minister is keeping his options open about the timing, and some advisers favor next May. But opinion polls suggest that, while Labour has opened a lead over Reform, an election would result in a messy hung parliament in which Burnham would need to strike deals with the Liberal Democrats, Greens, and possibly the Scottish and Welsh nationalists to muster a parliamentary majority. Burnham currently enjoys a working majority of 166 and would call an election only if he were confident of an outright win.

The next election is likely to feature a renewed debate on the future relationship with the EU, as Burnham told the party conference he will try to find consensus on that issue in time for the UK-EU summit expected next November. The options will likely include rejoining the bloc, its single market, or its customs union. The prime minister also shared plans to set up a national commission on electoral reform, with Labour vowing to fight the next election on a promise to introduce proportional representation.

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